

UHU026: BEHAVIORAL ECONOMICS

L	T	P	Cr
3	0	2	4.0

Course Objectives: To impart knowledge on current ideas and concepts regarding decision making in Economics, particularly from a behavioral science perspective, which can affect choices and behavior of firms, households and other economics entities.

Introduction

The neoclassical/standard model and behavioral economics in contrast; historical background; behavioral economics and other social sciences; theory and evidence in the social sciences and in behavioral economics; applications – gains and losses, money illusion, charitable donation.

Basics of choice theory

Revisiting the neoclassical model; utility in economics and psychology; models of rationality; connections with evolutionary biology and cognitive neuroscience; policy analysis – consumption and addiction, environmental protection, retail therapy; applications – pricing, valuation, public goods, choice anomalies.

Beliefs, heuristics and biases

Revisiting rationality; causal aspects of irrationality; different kinds of biases and beliefs; self-evaluation and self-projection; inconsistent and biased beliefs; probability estimation; trading applications – trade in counterfeit goods, financial trading behavior, trade in memorabilia.

Choice under uncertainty

Background and expected utility theory; prospect theory and other theories; reference points; loss aversion; marginal utility; decision and probability weighting; applications – ownership and trade, income and consumption, performance in sports.

Intertemporal choice

Geometric discounting; preferences over time; anomalies of inter-temporal decisions; hyperbolic discounting; instantaneous utility; alternative concepts – future projection, mental accounts, heterogeneous selves, procedural choice; policy analysis – mobile calls, credit cards, organization of government; applications – consumption and savings, clubs and membership, consumption planning.

Strategic choice

Review of game theory and Nash equilibrium – strategies, information, equilibrium in pure and mixed strategies, iterated games, bargaining, signaling, learning; applications – competitive sports, bargaining and negotiation, monopoly and market entry.

Individual preferences; choice anomalies and inconsistencies; social preferences; altruism; fairness; reciprocity; trust; learning; communication; intention; demographic and cultural

aspects; social norms; compliance and punishment; inequity aversion; policy analysis – norms and markets, labor markets, market clearing, public goods; applications – logic and knowledge, voluntary contribution, compensation design.

Laboratory Work:

Case studies

Numerical Problems on Game Theory

Course Learning Outcomes (CLOs) / Course Objectives (COs):

Upon completion of this course, students will be able to:

1. Employ concepts from economics and psychology to gain a deeper understanding of individual behavior.
2. Demonstrate an understanding of traditional and modern microeconomic concepts and apply them for strategic decision making.
3. Apply rational choice theory to comprehend how heuristics can lead to systematic errors and biases in decision making.
4. Derive the behavior predicted by classical game theory in simple games.
5. Ability to apply behavioral models to interpret and predict behavior in simple frameworks.

Text Book:

1. An Introduction to Behavioral Economics, N. Wilkinson and M. Klaes, 2019.

Reference Book:

1. Holt, Charles A. Markets, Games, and Strategic Behavior: An Introduction to Experimental Economics. Princeton University Press, 2019.